



CHAPTER Iv.

An Act to convert the existing capital of the Croydon Gas Company to authorise the raising of additional capital and for other purposes.

A.D. 1922.

[20th July 1922.]

WHEREAS the Croydon Commercial Gas and Coke Company (hereinafter referred to as "the original Croydon company") were incorporated by the Croydon Commercial Gas and Coke Act 1847 and were by virtue of that Act and subsequent Acts empowered to supply gas within an area which comprised part of the county borough of Croydon and certain other parishes and parts of parishes and places all in the county of Surrey :

And whereas by the Croydon Gas Act 1894 the undertaking of the Carshalton Gas Company was amalgamated with that of the original Croydon company and by the said Act it was enacted that the district to be supplied by the amalgamated company (hereinafter referred to as "the Company") should be and include the whole of the districts theretofore supplied by the Carshalton Gas Company and the original Croydon company :

And whereas by the Croydon Gas Act 1904 (hereinafter referred to as "the Act of 1904") the name of the Company was changed to its present name :

And whereas by the Croydon Gas Act 1905 (hereinafter referred to as "the Act of 1905") the undertaking of the Caterham and District Gas Company was transferred to and vested in the Company and the limits of the Company for the supply of gas were further extended :

[*Price 1s. 3d. Net.*]

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And whereas the issued capital of the Company now consists of the following stocks (that is to say) :—

Fifty-one thousand six hundred pounds of A stock entitled to a standard dividend of ten pounds per centum per annum subject to increase or decrease in accordance with the decrease or increase in the price charged by the Company for gas supplied within the district formerly supplied by the original Croydon company (hereinafter called “the Croydon area”);

One hundred and seventy-eight thousand four hundred pounds of B stock entitled to a standard dividend of seven pounds per centum per annum subject to increase or decrease in accordance with the decrease or increase in the price charged by the Company for gas supplied within the Croydon area;

One hundred thousand pounds of C stock entitled to a standard dividend of seven pounds per centum per annum subject to increase or decrease in accordance with the decrease or increase in the price charged by the Company for gas supplied within the district formerly supplied by the Carshalton Gas Company which price is now under the provisions of the Act of 1904 identical with the price charged in the Croydon area;

Two hundred and four thousand and fifteen pounds of D stock entitled to a fixed maximum dividend of five pounds per centum per annum subject to decrease if in any half-year the dividend upon the B stock of the Company shall be at a less rate than five pounds per centum per annum the D stock in such case ranking *pari passu* for the purposes of dividend with the B stock;

Twenty-five thousand pounds of E stock entitled to a fixed maximum dividend of ten pounds per centum per annum subject to decrease if in any half-year the dividend upon the B stock of the Company shall be at a less rate than ten pounds per centum per annum the E stock in such case ranking *pari passu* for the purposes of dividend with the B stock;

One hundred and twenty thousand pounds of redeemable preference stock entitled to dividend at the rate of seven pounds and ten shillings per centum per annum :

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And whereas the Company have under the powers of the said Acts as modified by the Croydon Gas Company (Capital Issues) Consent 1920 power to raise additional capital not exceeding in the whole twenty-nine thousand and eighty-six pounds (inclusive of any premiums to be received on the sale thereof) by the creation and issue of D stock or of redeemable or irredeemable preference stock :

And whereas the Company have borrowed by the creation and issue of debenture stock or redeemable mortgages or redeemable debenture stock the following sums (that is to say) :—

Forty-four thousand five hundred and forty pounds by debenture stock bearing interest at the rate of five pounds per centum per annum ;

Ninety-seven thousand three hundred and ten pounds by debenture stock bearing interest at the rate of four pounds per centum per annum ;

Ten thousand pounds by redeemable mortgages bearing interest at the rate of five pounds per centum per annum ;

One hundred and fifteen thousand pounds by redeemable debenture stock bearing interest at the rate of seven pounds per centum per annum ; and

Seventy thousand pounds by redeemable debenture stock bearing interest at the rate of six pounds per centum per annum :

And whereas the complexity of the Company's stocks renders it difficult when issuing new capital adequately to convey to investors the financial inter-relation of the said stocks and prevents the best prices being obtained therefor and to enable the Company to raise future capital on more satisfactory terms it is expedient that the five different classes of ordinary stock in the existing capital of the Company should be converted into one uniform class of sliding scale stock and into one maximum dividend stock :

And whereas the demand for gas within the Company's limits of supply has of recent years greatly increased and is still increasing and it is expedient that the Company be authorised to raise additional capital for the general purposes of their undertaking :

And whereas it is expedient that the further provisions hereinafter contained should be made :

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And whereas the objects aforesaid cannot be attained without the authority of Parliament :

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows (that is to say) :—

Short title.

1. This Act may be cited as the Croydon Gas Act 1922.

Incorporation of Acts.

2. The following parts of Acts are incorporated with this Act namely :—

The Companies Clauses Consolidation Act 1845 (except the provisions relating to the conversion of borrowed money into capital) and Part I. (relating to cancellation and surrender of shares) Part II. (relating to additional capital) and Part III. (relating to debenture stock) of the Companies Clauses Act 1863 as amended by subsequent Acts.

Interpretation.

3. In this Act the several words and expressions to which meanings are assigned by the Acts partially incorporated herewith shall have the same respective meanings unless there be something in the subject or context repugnant to such construction.

D stock to be called maximum dividend stock.

4. From and after the passing of this Act the D stock issued under the authority of section 4 of the Act of 1904 or of section 6 or section 19 of the Act of 1905 shall be called "maximum dividend stock."

Conversion of stocks.

5. From and after the passing of this Act the following stocks forming part of the issued capital of the Company (that is to say) :—

The A stock amounting to fifty-one thousand and six hundred pounds and entitled to a standard dividend of ten pounds per centum per annum ;

The B stock amounting to one hundred and seventy-eight thousand and four hundred pounds and entitled to a standard dividend of seven pounds per centum per annum ;

The C stock amounting to one hundred thousand pounds and entitled to a standard dividend of seven pounds per centum per annum ; and

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The E stock amounting to twenty-five thousand pounds and entitled to a maximum dividend of ten pounds per centum per annum but subject to reduction of such dividend in certain events as provided by subsection (2) of section 6 of the Act of 1905;

shall by virtue of this Act be converted into the following stocks (that is to say):—

Six hundred and sixty thousand pounds of stock to be called “sliding scale stock” and eighty thousand nine hundred and sixty pounds of maximum dividend stock such maximum dividend stock to rank *pari passu* with the stock of that denomination authorised by section 4 of the Act of 1904 and section 6 and section 19 of the Act of 1905 respectively.

6. The sliding scale stock shall be entitled to a standard dividend of three pounds and ten shillings per centum per annum subject to increase or decrease as by this Act provided.

Standard dividend on sliding scale stock.

7.—(1) The standard price to be charged by the Company for gas supplied by them shall be the standard price fixed by paragraph (a) of section 3 of the Croydon Gas (Charges) Order 1921 or by any Act of Parliament or Order of the Board of Trade amending the same:

Standard price : Dividend on sliding scale stock dependent on price charged.

Provided that the Company may increase or reduce the price charged by them for gas above or below the standard price subject to a reduction or increase in the dividend payable by the Company on the sliding scale stock as follows:—

In respect of any half-year during any part of which the price charged by the Company shall have been above the standard price the dividend payable by the Company on the sliding scale stock shall in respect of every one-fifth of a penny per therm or part of one-fifth of a penny per therm by which the standard price shall have been increased be reduced below the standard rate of dividend on such stock by two shillings and sixpence per annum on every one hundred pounds of such capital paid up and so in proportion for any fraction of one hundred pounds;

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And in respect of any half-year during the whole of which the price charged by the Company shall have been one-fifth of a penny or more per therm below the standard price the dividend payable by the Company on the sliding scale stock may in respect of every one-fifth of a penny per therm by which the standard price shall have been reduced be increased above the standard rate of dividend by two shillings and sixpence per annum on every one hundred pounds of such capital paid up and so in proportion for any fraction of one hundred pounds.

(2) The price charged by the Company within the limits specified in subsection (1) of section 16 of the Act of 1905 shall not be taken into account for the purposes of this section.

Dividend on
maximum
dividend
stock.

8.—(1) From and after the passing of this Act the dividend payable on the maximum dividend stock of the Company whether issued under the Act of 1904 the Act of 1905 or this Act shall be a fixed maximum dividend of five pounds per centum per annum :

Provided that if in respect of any half-year the dividend paid upon the sliding scale stock of the Company shall be at a less rate than two pounds and ten shillings per centum per annum the maximum dividend stock shall be entitled to double the amount of such dividend on the sliding scale stock and no more.

(2) Subsection (2) of section 4 of the Act of 1904 is hereby repealed.

Division of
stocks
among
holders of
A B C and
E stock.

9. The amounts of sliding scale stock and maximum dividend stock so to be issued by the Company in place of the A stock B stock C stock and E stock shall be divided among and vested in the several persons and corporations registered at the passing of this Act as holders of the A stock B stock C stock or E stock or their executors administrators or assigns in the following manner (that is to say) :—

There shall be issued to the holders of A stock sliding scale stock and maximum dividend stock at the rate of two hundred pounds of sliding scale stock and sixty pounds of maximum dividend stock for every one hundred pounds of A stock :

There shall be issued to the holders of B stock sliding scale stock at the rate of two hundred pounds of sliding scale stock for every one hundred pounds of B stock : A.D. 1922.

There shall be issued to the holders of C stock sliding scale stock at the rate of two hundred pounds of sliding scale stock for every one hundred pounds of C stock :

There shall be issued to the holders of E stock maximum dividend stock at the rate of two hundred pounds of maximum dividend stock for every one hundred pounds of E stock.

10.—(1) All stocks to be issued on conversion under the powers of this Act shall be vested in the several persons who at the date of the passing of this Act shall be the registered proprietors of the stock for which the same is substituted or their executors administrators or assigns and all the stock so vested shall be subject and liable to the same trusts powers provisions declarations agreements charges liens and incumbrances as immediately before that day affected the stock for which the same is substituted and every deed or other instrument or any testamentary disposition of or affecting the existing stock shall take effect with reference to the whole or a proportionate part as the case may be of the substituted stock. New certificates for converted stocks.

(2) The Company shall call in and cancel the certificates of the A B C and E stocks and shall issue in lieu thereof new certificates for equivalent amounts as provided by this Act.

(3) The new certificates shall be issued free of charge.

(4) No stockholder shall be entitled to a new certificate or new certificates until he shall have delivered up to the Company to be cancelled the existing certificate for which such new certificate or new certificates are to be substituted or shall have proved to the reasonable satisfaction of the Company the loss thereof.

(5) The Company shall not be bound to call in and cancel the certificates of D stock or to issue in lieu thereof new certificates for the stock under its new designation unless and until such certificates of D stock shall be delivered to the Company upon transfer or transmission but all such certificates shall until cancelled have effect as certificates of the stock by its new designation of

A.D. 1922. the amount named therein The Company shall register all transfers or other dispositions of maximum dividend stock whether the instrument of transfer or disposition shall describe the stock as D stock or as maximum dividend stock.

Additional capital under Acts of 1904 and 1905 may be raised by sliding scale stock maximum dividend stock or preference stock.

11. The power of raising additional capital conferred by section 4 of the Act of 1904 and by section 19 of the Act of 1905 respectively so far as the same has not been exercised may be exercised by the creation and issue either of maximum dividend stock or of sliding scale stock to rank *pari passu* with the sliding scale stock to be issued under the provisions hereinbefore contained or of preference stock or wholly or partially by one or more of those modes respectively.

Power to raise additional capital.

12. The Company may from time to time in addition to any capital they are now authorised to raise raise additional capital to such amount as shall be sufficient to produce after taking into account premiums or discounts (if any) which may be obtained or allowed respectively on the issue thereof the sum of two hundred thousand pounds by the creation and issue of sliding scale stock to rank *pari passu* with the sliding scale stock to be issued under the provisions hereinbefore contained or of new maximum dividend stock to rank *pari passu* with the D stock authorised by the Act of 1904 and the Act of 1905 and with the maximum dividend stock to be issued under the provisions hereinbefore contained or of preference stock or wholly or partially by one or more of those modes respectively.

Dividend on preference capital.

13. Notwithstanding anything contained in the Companies Clauses Act 1863 or any other Act any capital which may be issued under the powers of this Act as preference capital may bear such a rate of interest as the directors may determine at the date or respective dates of the issue thereof.

Additional capital to be part of general capital.

14. The capital created by the Company under this Act and the stock therein shall form part of the general capital of the Company and save as is otherwise by this Act provided the said stock and the holders thereof respectively shall be subject and entitled to the same powers provisions liabilities rights privileges and incidents whatsoever in all respects as if that capital were part of the now existing capital of the Company of the same

class and description and the new stock were stock in that capital. A.D. 1922.

15.—(1) When any stock created under the powers of the section of this Act the marginal note whereof is “Power to raise additional capital” is to be issued and whether the stocks of the Company or any of them are or is at a premium or not the Company before offering the same to the holders of any other stock of the Company or for sale by public auction or by tender may with the approval of the Board of Trade to be signified in writing under the hand of an assistant secretary of that Board offer to the gas consumers and persons in the employ of the Company the stock so to be issued at as near as may be the average market price in the month immediately preceding such offer provided that in no case shall the price at which such stock shall be offered be lower than five per centum below such average market price. Sale of stock by offer at a fixed price.

(2) To ascertain the average market price aforesaid of the stock in the month immediately preceding an offer to consumers and employees the mean daily quotations recorded in the official published list of the London Stock Exchange shall be taken for the last four completed weeks.

16.—(1) Subject to the provisions hereinbefore contained all stock to be issued by the Company whether under the powers of this Act or of any prior Act shall be issued in accordance with the provisions of this section. New stock to be sold by auction or tender.

(2) All stocks so to be issued shall be offered for sale by public auction or tender in such manner at such times and subject to such conditions of sale as the Company shall from time to time determine. Provided as follows:—

(A) Notice of the intended sale shall be given in writing to the town clerk of every borough and to the clerk to the council of every district wholly or partly included in the limits of supply of the Company and to the secretary of the London Stock Exchange at least seven days before the day of auction or the last day for the reception of tenders as the case may be and shall also be duly advertised once in each of two consecutive weeks in one or more local newspapers circulating within the said limits:

(B) A reserve price shall be fixed and notice thereof shall be sent by the Company in a sealed letter

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to be received by the Board of Trade not less than twenty-four hours before but not to be opened till after the day of auction or last day for the receipt of tenders as the case may be :

(c) In the case of a sale by tender no preference shall be given to one of two or more persons tendering the same sum In the case of a sale by auction a bid shall not be recognised unless it is in advance of the last preceding bid :

(D) It shall be one of the conditions of sale that the total sum payable by the purchaser shall be paid to the Company within three months after the date of the auction or of the acceptance of the tender as the case may be.

(3) Any stock which may have been so offered for sale and not sold may be offered at the reserve price to the holders of ordinary and preference stock of the Company in accordance with the provisions of sections 18 19 and 20 of the Companies Clauses Act 1863 and to the employees of the Company and to the consumers of gas supplied by the Company in such proportions as the directors may think fit or to one or more of these classes of persons only Provided in the case of an offer to holders of stock that if the aggregate amount of stock applied for shall exceed the aggregate amount so offered as aforesaid the same shall be allotted to and distributed amongst the applicants as nearly as may be in proportion to the amounts applied for by them respectively.

(4) Any stock which has been offered for sale in accordance with subsection (2) or with subsections (2) and (3) of this section and is not sold may be disposed of at such price and in such manner as the directors may determine for the purpose of realising the best price obtainable.

(5) As soon as possible after the conclusion of the sale or sales the Company shall send a report thereof to the Board of Trade stating the total amount of stock sold the total amount obtained as premium (if any) and the highest and lowest prices obtained for the stock.

Power to borrow.

17. The Company may at any time after the passing of this Act borrow on mortgage of the undertaking in respect of the two hundred and four thousand and fifteen pounds of D stock already issued by the Company and of the one hundred and twenty thousand pounds of

redeemable preference stock so issued and the sliding scale and maximum dividend stock issued under the powers of the section of this Act the marginal note whereof is "Conversion of stocks" any sum or sums not exceeding in the whole (inclusive of the sum of three hundred and thirty-six thousand eight hundred and fifty pounds already borrowed) one-third of the aggregate nominal amount of such stocks.

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18. The Company may in addition to any moneys which they are authorised to borrow as aforesaid borrow on mortgage of the undertaking in respect of any capital to be hereafter raised whether under the powers of the Act of 1904 the Act of 1905 or this Act any sum or sums not exceeding in the whole one-third of the amount of such capital (including premiums or allowing for discounts as the case may be) which at the time of borrowing has been raised but no sum shall be borrowed in respect of any capital so raised until the Company have proved to a justice of the peace before he gives his certificate under the fortieth section of the Companies Clauses Consolidation Act 1845 that the whole of the stock for the time being issued together with the premiums (if any) realised on the sale thereof have been fully paid up.

Further
power to
borrow.

19. Section 15 of the Act of 1904 and section 30 of the Act of 1905 are hereby repealed.

Repeal of limit
of interest on
moneys bor-
rowed.

20. Section 31 of the Act of 1905 (Appointment of receiver) is hereby repealed but without prejudice to any appointment heretofore made or to any proceedings pending at the passing of this Act and in lieu thereof the mortgagees of the undertaking may enforce payment of arrears of interest or principal or principal and interest due on their mortgages by the appointment of a receiver and in order to authorise the appointment of a receiver in respect of arrears of principal the amount owing to the mortgagees by whom the application for a receiver is made shall not be less than ten thousand pounds in the whole.

Appoint-
ment of
receiver.

21. The Company may create and issue debenture stock subject to the provisions of Part III. of the Companies Clauses Act 1863 of section 17 of the Act of 1904 and of section 32 of the Act of 1905.

Debenture
stock.

Issue of
debentures
and debenture
stock.

22. As from the passing of this Act section 18 of the Act of 1904 and section 33 of the Act of 1905 are repealed.

Priority of
mortgages
and
debenture
stock over
other debts.

23. All moneys raised or to be raised by the Company on mortgage or debenture stock under the provisions of any Act relating to the Company or under this Act shall have priority against the Company and the property from time to time of the Company over all other claims on account of any debts incurred or engagements entered into by them after the passing of this Act.

Application
of moneys.

24. All moneys raised under this Act whether by stock debenture stock or borrowing shall be applied only to the purposes of this Act and to the general purposes of the Company being in all cases purposes to which capital is properly applicable.

Issue of
redeemable
preference or
debenture
stock.

25.—(1) The Company may create and issue all or any of the preference stock or debenture stock which the Company may hereafter create and issue under the powers of this Act so as to be redeemable on such terms and conditions as may be specified in a resolution of the Company passed at a special meeting convened for the purpose.

(2) If it is so provided in the resolution the Company may—

- (A) Call in and pay off the stock or any part thereof at any time before the fixed date of redemption; and
- (B) Redeem the stock or any part thereof by paying off the stock or by issuing to any stockholder subject to his consent other stock in substitution therefor.

(3) For the purpose of providing money for paying off stock or of providing substituted stock the Company may create and issue new stock either redeemable or irredeemable or re-issue stock originally created and issued under this section Provided that the creation and re-issue for such purposes of any particular class of stock does not make the total nominal amount of such stock exceed the amount of that class of stock which the Company are for the time being authorised to create except during the necessary interval between the creation and

issue of the new stock and the redemption of the old stock. A.D. 1922.

(4) The section of this Act of which the marginal note is "New stock to be sold by auction or tender" shall not apply to the issue of preference stock (redeemable or irredeemable) in substitution for redeemable preference stock.

(5) The Company shall not redeem out of revenue any preference stock or debenture stock created under this section.

26.—(1) Any sliding scale stock maximum dividend stock preference stock or debenture stock of the Company may be issued held and transferred in amounts of one pound or of any multiple of one pound and not otherwise. Stocks to be held in multiples of one pound.

(2) Notice of this enactment as far as applicable shall be stated in all future certificates issued by the Company.

27.—(1) From and after the passing of this Act the ordinary meetings of the proprietors of the Company shall be held annually instead of half-yearly and shall in every year be held so soon after the thirty-first day of December in the preceding year but not later than the month of March as the directors may from time to time determine. Annual meetings and interim dividends.

(2) The directors may if it appears to them that the profits of the Company are sufficient declare and pay in respect of any half-year ending on the thirtieth day of June dividends on the capital of the Company out of the profits of the Company without the sanction or direction of a general meeting but no such dividends on the sliding scale stock or on the maximum dividend stock of the Company shall exceed the rate of dividend on those stocks respectively in respect of that half-year as determined pursuant to the provisions of this Act and no such dividend on any preference stock of the Company shall exceed half of the yearly rate of dividend on such preference stock.

(3) Any dividend declared at an annual general meeting of the Company shall be a half-yearly dividend in respect of the half-year ending next before the date of such meeting.

(4) The directors may close the register of transfers for a period not exceeding fourteen days immediately preceding the day appointed for holding each annual

A.D. 1922. ordinary meeting and also (in any year in which it is proposed to exercise the powers of subsection (2) of this section) for a consecutive period not exceeding fourteen days in the month of July or in the month of August or partly in one and partly in the other of those months and shall give seven days' notice of the day of closing such register by advertisement in some newspaper circulating within the Company's limits of supply.

(5) Any transfer tendered to the Company during the time when the register is so closed shall as between the Company and the person claiming under the transfer but not otherwise be considered as made subsequently to the declaration of any such dividend.

(6) Notwithstanding anything contained in section 116 of the Companies Clauses Consolidation Act 1845 or in any other enactment the Company and the directors thereof shall not be required to make up a half-yearly balance sheet and accounts but they shall make up annually to the thirty-first day of December such a balance sheet and accounts as are referred to in that section relating to the transactions of the Company in the course of the preceding year.

(7) Section 27 (First ordinary meetings) of the Croydon Gas Act 1866 is hereby repealed.

Power to vary price according to purposes for which gas is supplied.

28.—(1) Notwithstanding anything contained in any Act relating to the Company the price to be charged by the Company for the supply of gas may vary according to the purposes for which the gas is supplied as may be agreed upon between the Company and the person taking such supply. Provided that the Company shall not under the powers of this section fix any preferential price as between any consumers who shall take a supply of gas for the same purposes under like circumstances.

(2) Section 36 of the Act of 1905 is hereby repealed.

Provision of valve where high-pressure air is used.

29.—(1) Every consumer of gas supplied by the Company who uses air at high pressure for or in connection with the consumption of such gas (in this section referred to as "high-pressure air") shall if required to do so by the Company provide and fix in a suitable position and use an efficient valve or other appliance for preventing the admission of such air into the service pipe or any main through which such gas is supplied and shall at all times at his own expense keep in proper order and repair any

such valve or other appliance as aforesaid which shall have been provided and fixed whether upon such requirement or otherwise. A.D. 1922.

(2) It shall not be lawful for any person at any time after the passing of this Act to commence to use high-pressure air unless and until he shall have given to the Company not less than fourteen days' previous notice in writing of his intention to do so.

(3) Every person who at the date of the receipt by him of any such demand note as is referred to in paragraph (A) of subsection (5) of this section is using high-pressure air shall within one month after that date give to the Company notice in writing of such use and if within one month after the giving of such notice the Company require the consumer giving the same to provide and fix such a valve or other appliance as aforesaid it shall not be lawful for him after the expiration of fourteen days from the receipt of the requirement to continue to use high-pressure air unless before such expiration he shall have complied with the requirement.

(4) If any consumer shall fail to comply with any requirement of the Company or any obligation under this section the Company may cease to supply gas to him and shall not be under any obligation to resume such supply until the default shall have been remedied to their satisfaction.

(5) The Company shall give notice of the effect of the foregoing provisions of this section :—

(A) (In the case of all persons who at the date of the passing of this Act are consumers of gas supplied by the Company) on the demand notes for gas charges payable to the Company issued next after that date; and

(B) (In the case of any person becoming after the passing of this Act a consumer of gas supplied by the Company) on the first of such demand notes delivered to such person after he shall have become a consumer.

(6) The Company shall have access at all reasonable times to all premises supplied by them with gas in or upon which high-pressure air is used or the Company have reason to believe that high-pressure air is or may at the time be used in order to ascertain whether any such valve or appliance as aforesaid is efficient or is in proper order

A.D. 1922: and repair or whether such a valve or appliance is provided and fixed where necessary.

(7) The Company shall be at liberty to take off remove test inspect and replace any such valve or other appliance as aforesaid such taking off removing testing inspecting and replacing to be done at the expense of the Company if the valve or other appliance be found in proper order but otherwise at the expense of the consumer.

Contracts
by directors.

30. Notwithstanding anything in the Companies Clauses Consolidation Act 1845 no person shall be disqualified from being a director of the Company by reason of his holding any office or place of trust or profit under the Company or by reason of his being interested in any contract with the Company nor shall any director be required to cease from voting or acting as a director by reason of his accepting any such office or place of trust or profit or becoming interested in any such contract Provided that in the case of his being or becoming interested in any contract with the Company whether such interest shall arise before or after his appointment as a director the nature of his interest in the contract shall be disclosed by him at the meeting of the directors at which the contract is determined on if his interest then exists or in any other case at the first meeting of the directors after the acquisition of his interest or after his appointment and that no director shall as a director vote in respect of any such contract and if he does so vote his vote shall not be counted but this prohibition shall not apply to any contract by or on behalf of the Company to give to the directors or any of them any security by way of indemnity.

Auditors.

31.—(1) It shall be lawful for the Company at any time by resolution passed at a general meeting to decide that the audit of the Company's accounts shall be made by a single auditor qualified as hereinafter provided or by a firm of accountants the members whereof are so qualified and from and after the passing of such resolution the following provisions shall apply:—

(A) Such auditor or the members of such firm shall be a member or members of the Institute of Chartered Accountants or of the Society of Incorporated Accountants and Auditors or an

accountant or accountants approved by the Board of Trade : A.D. 1922.

- (B) Such auditor or the members of such firm need not hold stock of the Company :
- (c) Nothing in this section shall prevent any person who at the date of the passing of such resolution is an auditor of the Company from continuing to act as such auditor if duly appointed.

(2) In addition to the powers which the directors may exercise under the Companies Clauses Consolidation Act 1845 and the Companies Clauses Act 1863 as amended by subsequent Acts they may determine the remuneration of the auditor or auditors.

32. All costs charges and expenses of and incident to the preparing for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Company and may be charged in whole or in part to revenue. Costs of Act.

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